

	OPTION A You make the minimum payment (\$30/month)	OPTION B You make the minimum payment plus \$5/month (\$35/month)	OPTION C You make the minimum payment plus \$10/month (\$40/month)	OPTION D You pay a fixed amount (\$100/month)
Time to pay off your balance	4 years, 4 months	3 years, 5 months	2 years, 10 months	1 year
Interest paid	\$559.61	\$429.41	\$349.98	\$114.89
Total paid	\$1,559.61	\$1,429.41	\$1,349.98	\$1,114.89

Source: Table designed using data from Credit Card Payment Calculator, Financial Consumer Agency of Canada, 2013.

Look at those totals. That's why you must never carry a balance. It's simply not worth it. Whether they shake you down for an extra \$114.89 in interest or \$559.61, you've paid a huge premium on your goods.

I don't say any of this to scare you. You absolutely should and must have a credit card—it's the only way to build your credit score. I tell kids to apply for their own credit card the day they turn 18. I'm serious: go down to the bank on your birthday and fill out the paperwork. My daughter, Savannah, got a Bank of America credit card as soon as she turned 18. It took us countless hours to wade through all the paperwork and bureaucratic red tape, but it was worth it. She's spent the last three years building her credit score, and her diligence has paid off.

Your local bank will have offers from all the big companies—Visa, MasterCard, Discover, American Express. It's best to pick one company and stick with them. Do your homework and compare APRs of all the major cards; here, lower is better. Once you've made your choice, put the card in your own name—even if it means your